

Source Integration

- Class 11 Indian Economic Development, Chapter 6: Employment: Growth, Informalisation and Other Issues

Core Factual & Conceptual Architecture

1. Worker Concepts and Participation

- Worker Definition: Anyone engaged in economic activity contributing to national income, including the self-employed and temporarily absent workers. Unpaid domestic labor by women is currently excluded from official counts despite economic contributions.
- Worker-Population Ratio: Higher in rural areas (~42) due to early labor force entry and fewer alternatives, versus urban areas (~38) where extended education delays entry.
- Sectoral & Gender Split: Rural workers concentrate in primary activities, while urban workers dominate services (~61%). Women exhibit disproportionately high primary sector concentration (~64%) compared to men (~36%).

2. Jobless Growth and Casualisation

- Jobless Growth: Over 1950–2010, GDP grew faster than employment, with job growth never exceeding ~2 percent annually, widening from the late 1990s onward.
- Sectoral Transformation: Long-term shifts reduced primary sector employment from 74.3 percent (1972–73) to 46.1 percent (2023–24), expanding secondary (24.1 percent) and tertiary sectors (29.8 percent).
- Casualisation: A structural shift away from self-employment and regular salaried work toward casual wage labor, increasing worker vulnerability.

3. Informalisation of the Workforce

- Formal vs. Informal Sectors: Formal (organised) includes public sector establishments and private units with 10 or more hired workers. Informal (unorganised) encompasses all remaining farmers, agricultural laborers, small enterprises, and non-farm casual workers.
- Scale & Drivers: Roughly 89 percent of India's workforce is informal, enjoying little to no social security, maternity benefits, or pensions. Corporate outsourcing serves as a primary driver, shifting core tasks to smaller units and home-based workers.

4. Unemployment Metrics and Generation Programmes

- Measurement: The National Statistical Office (NSO) defines the unemployed as those lacking work but actively seeking or available for employment.
- Types of Unemployment: Open unemployment (actively seeking work), disguised unemployment (excess labor where marginal productivity is zero, historically high in agriculture), and seasonal unemployment (agriculture-driven off-season idleness).
- Government Generation: Direct employment through public administration and enterprises, indirect generation via economic multiplier effects, and social safety net programmes like MGNREGA 2005.